Worked example −− the FX−adjusted dollar investor over three months (mid−2022)

Month	FXGCF signal	Forecast E[rx] (%)	Recursive vol (%)	Target weight	Action	Realized 12m (%)
2022−05	0.14	2.96	5.87	1.23	Hold overweight	−7.9
2022−06	−0.16	2.06	6.04	0.81	Sell ~34% of bonds −> underweight	−6.5
2022−07	−0.68	0.55	6.19	0.20	Sell ~75% of bonds −> near−cash	−10.4

Each month the investor reads the recursive FXGCF signal, updates the forecast E[rx] and the recursive volatility, and sets the mean−variance target weight w = (1/gamma) E[rx]/vol^2; 'Action' is the implied rebalancing. 'Realized 12m' is the subsequent realized return, shown only to assess the call ex post −− it is not used in forming the weight. The deteriorating signal drove a move to near−cash ahead of a sharp drawdown.